



CIRCULAR

CIR/DNPD/ 2 /2010

May 4, 2010

Recognized Stock Exchanges
and their Clearing Corporations / Clearing Houses

Dear Sir/Madam,

Sub: Introduction of Index options with tenure up to 5 years

This is in continuation of SEBI circular SEBI/DNPD/Cir-34/2008 dated January 11, 2008 regarding introduction of Index options with tenure up to 3 years.

2. It has now been decided to permit Stock Exchanges to introduce option contracts on Sensex and Nifty with tenure up to 5 years subject to the condition that;
 - a. There are 8 semi annual contracts of the cycle June/December in sequence to 3 serial monthly contracts and 3 quarterly contracts of the cycle March/June/September/December.
 - b. The Exchange has in place the appropriate risk management framework for such derivative contracts.
3. This circular is issued in exercise of the powers conferred under Section 11 (1) of the Securities and Exchange Board of India Act 1992, read with Section 10 of the Securities Contracts (Regulation) Act, 1956 to protect the interests of investors in securities and to promote the development of, and to regulate the securities market.
4. The circular shall come into force from the date of the circular.
5. This circular issues with the approval of the competent authority.
6. This circular is available on SEBI website at www.sebi.gov.in., under the category "Derivatives- Circulars".

Yours faithfully,

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